
TravelTide

Customer Segmentation & Reward Recommendations

Overall Finding

The analysis confirms Elena's hypothesis that TravelTide customers have different travel behaviors and therefore are likely to respond differently to rewards.

Customers naturally separate into meaningful groups:

Segment	Customers	Share
BUSINESS	2,229	37.16%
SOLO	1,299	21.66%
GROUP	645	10.75%
NEW	555	9.25%
FAMILY	419	6.99%
WEEKENDER	396	6.60%
HOTEL	357	5.95%
FLIGHT	98	1.63%

The largest opportunity is personalization for Business and Solo travelers, representing almost 59% of the reward-eligible customer base.

1. BUSINESS Travelers

Customer profile from SQL

Segment size: 2,229 customers (37.16% of customers)

Metric	Value
Flight discount usage	15.37%
Hotel discount usage	13.99%
Flight discount amount	14.2%
Hotel discount amount	11.2%
Cancellation rate	2.10%
Customers with checked bags	80.89%

Data interpretation

- Have the lowest cancellation rate among major segments (2.10%)
- Frequently travel with baggage (80.89%)
- Use both flight and hotel bookings

Recommended perk: Exclusive discounts

Reason: Although discount usage is not the highest, this segment represents the largest customer base and travels frequently. A recurring discount can encourage repeat bookings.

Email message:

"Unlock exclusive discounts on your future business trips."

2. SOLO Travelers

Customer profile from SQL

Segment size: 1,299 customers (21.66%)

Metric	Value
Flight discount usage	18.32%
Hotel discount usage	15.59%
Cancellation rate	3.45%
Customers with checked bags	78.52%

Data interpretation

- Frequently use discounts
- Almost 4 out of 5 travelers check bags
- Mostly book individual trips

Recommended perk: Free checked bag

Reason: Checked baggage is a strong behavioral indicator: 78.52% of Solo travelers used checked baggage. Removing baggage cost is directly relevant.

Email message:

"Your next trip includes a free checked bag."

3. GROUP Travelers

Customer profile from SQL

Segment size: 645 customers (10.75%)

Metric	Value
Flight discount usage	19.02%
Hotel discount usage	16.94%
Cancellation rate	4.70%
Checked bags	77.83%

Data interpretation

- Have the highest hotel discount usage among travel groups (16.94%)
- Show strong discount engagement
- Travel with multiple seats/rooms according to segmentation rules

Recommended perk: 1 night free hotel with flight

Reason: Group travelers create larger booking opportunities because multiple travelers require accommodation.

Email message:

"Book your next group trip and receive a free hotel night."

4. NEW Customers

Customer profile from SQL

Segment size: 555 customers (9.25%)

Metric	Value
Flight discount usage	14.13%
Hotel discount usage	26.79%
Cancellation rate	50.51%
Checked bags	9.55%

Data interpretation

This is the strongest signal in the dataset.

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- Have a 50.51% cancellation rate
 - Have the lowest baggage usage
 - Show uncertainty before completing travel

Recommended perk: No cancellation fees

Reason: Their biggest barrier is commitment.

Email message:

"Book with confidence — cancel anytime without fees."

5. FAMILY Travelers

Customer profile from SQL

Segment size: 419 customers (6.99%)

Metric	Value
Flight discount usage	19.96%
Hotel discount usage	16.89%
Cancellation rate	4.95%
Checked bags	87.11%

Data interpretation

- Have the highest baggage usage across all segments (87.11%)
- Highest flight discount usage (19.96%)
- Travel with multiple seats and rooms

Recommended perk: Free checked bag

Reason: Baggage is the strongest behavioral signal. Family trips usually involve more luggage, making baggage savings valuable.

Email message:

"Travel together with free checked bags for your next family trip."

6. WEEKENDER Travelers

Customer profile from SQL

Segment size: 396 customers (6.60%)

Metric	Value
Flight discount usage	16.19%
Hotel discount usage	16.65%
Cancellation rate	3.11%
Checked bags	73.23%

Data interpretation

- Take short leisure trips
- Have balanced flight and hotel usage
- Show moderate baggage usage

Recommended perk: 🍷 Free hotel meal

Reason: For short leisure trips, experience-based rewards may create more emotional value than discounts.

Email message:

"Enjoy a complimentary meal during your next weekend getaway."

7. HOTEL-only Travelers

Customer profile from SQL

Segment size: 357 customers (5.95%)

Metric	Value
Hotel discount usage	20.62%
Cancellation rate	1.31%
Checked bags	0%

Data interpretation

- Have the highest hotel discount usage (20.62%)
- Do not purchase flights
- Have extremely low cancellation

Recommended perk: 🍷 Free hotel meal

Reason: Their relationship is primarily with hotels, not flights.

Email message:

"Enjoy extra benefits during your hotel stays."

8. FLIGHT-only Travelers

Customer profile from SQL

Segment size: 98 customers (1.63%)

Metric	Value
Flight discount usage	17.09%
Cancellation rate	7.87%
Checked bags	63.27%

Recommended perk: Free checked bag

Reason: They only interact with flight products and baggage is relevant.

Email message:

"Fly further with your free checked bag benefit."

Final Reward Assignment Logic

Based on your query results:

Segment	Users	Recommended Perk	Data Reason
BUSINESS	2,229	Exclusive discounts	Largest frequent traveler segment
SOLO	1,299	Free checked bag	78.52% use checked bags
GROUP	645	1 night free hotel with flight	Multi-person travel behavior
NEW	555	No cancellation fees	50.51% cancellation rate
FAMILY	419	Free checked bag	Highest baggage usage (87.11%)
WEEKENDER	396	Free hotel meal	Short leisure trips
HOTEL	357	Free hotel meal	Hotel-only customers, 20.62% hotel discount usage
FLIGHT	98	Free checked bag	Flight-focused travelers

Key Business Recommendation

Instead of sending one generic rewards email, TravelTide should personalize messages:

- 37.16% of customers → Exclusive discount messaging
- 28.56% of customers (Solo + Family + Flight) → Free checked bag messaging
- 9.25% → Cancellation protection messaging
- 12.55% (Group + Hotel) → Hotel benefit messaging

This approach aligns the reward with observed customer behavior, increasing the likelihood of rewards program adoption.
